

PACK 3

ACQLERATE

Defense Finance Cheat Sheets

4 tools that make defense money make sense — finally

WHAT'S INCLUDED

- Color of Money Decision Tree
- PPBE Cycle Reference
- EVM Formulas Quick Reference
- Wrap Rate Breakdown

Why Defense Finance Confuses Everyone

The Department of Defense operates on one of the most complex financial systems ever created. Multiple appropriation types, each with their own rules. A budget cycle that takes two years. Cost accounting standards that would make a CPA's head spin. And an alphabet soup of acronyms that seems deliberately designed to keep outsiders confused.

But here's the thing — underneath the acronyms and appropriations law, defense finance follows a logic that actually makes sense once you understand what problem each rule is solving. Color of money exists because Congress wants to control how money is spent. EVM exists because the government needs to know if programs are on track before they're finished. The PPBE cycle exists because you can't build an aircraft carrier on a one-year budget.

This pack gives you four tools that translate the complexity into plain English. Each one is designed to be a quick reference — something you keep open during meetings, reviews, and budget drills.

WHAT'S UPDATED IN THIS EDITION

Reflects FAC 2025-07 (effective Oct 1, 2025) and CMMC Phase 1 (active Nov 10, 2025).

- SAT updated to \$350,000 and MPT to \$15,000 (FAC 2025-07, effective Oct 1, 2025)
- EVMS thresholds updated: non-validated EIA-748 at \$50M (was \$20M); DCMA-validated at \$100M (was \$50M)
- TINA / certified cost & pricing data threshold confirmed at \$2.5M
- Competition J&A; approval threshold updated to \$900,000 (was \$750,000)
- Wrap Rate section: CMMC compliance cost added as emerging indirect cost factor
- CMMC Phase 1 active Nov 10, 2025 — self-assessment accepted for Level 2
- CMMC Phase 2 (Nov 10, 2026): C3PAO third-party assessment required for Level 2

TOOL 1

Color of Money Decision Tree

What It Is

A visual decision tool that helps you determine which appropriation type to use for any given expense. In DoD, money isn't just money — it comes in different "colors" that can only be used for specific purposes.

THE ANALOGY

Imagine you have three bank accounts: one for home improvements, one for monthly bills, and one for groceries. You can't pay your electricity bill out of the grocery account — even if there's money in it. That's color of money. Mixing accounts isn't a bookkeeping error; in DoD it's an Anti-Deficiency Act violation — and people lose careers over it.

The Four Colors

Color	Full Name	Used For	Availability
RDT&E;	Research, Development, Test & Evaluation	Developing new capabilities, testing prototypes	2 years
Procurement	Procurement	Buying production items, weapons systems, equipment	3 years
O&M;	Operations & Maintenance	Running day-to-day operations, maintenance, services	1 year
MILCON	Military Construction	Building or renovating facilities over \$1M	5 years

What's Inside

- Decision Tree — a step-by-step selection guide that walks you through "what kind of money do I use for this?"
- Quick Reference Table — all appropriation types with periods of availability, authorized uses, and real-world examples.

How to Use It

- 1 Step 1 — Identify what you're buying or funding
Be specific about the nature of the expense.
- 2 Step 2 — Follow the decision tree
Answer each question and it guides you to the right appropriation.
- 3 Step 3 — Check the Quick Reference Table
It has examples of what each color covers.
- 4 Step 4 — When in doubt, ask your resource manager
Never guess on appropriations.

TOOL 2

EVM Formulas Quick Reference

What It Is

A one-page reference card for Earned Value Management — the system DoD uses to measure whether a program is on track for cost and schedule. It's the universal language of defense program performance.

THE ANALOGY

EVM is like checking the fuel gauge AND the GPS at the same time. How much fuel you've burned (cost) tells you one thing. Where you actually are on the map (schedule) tells you another. EVM compares both to where you planned to be — and that comparison tells you whether you're heading for trouble.

Key Metrics in Plain English

Metric	Full Name	Plain English
BCWS	Budgeted Cost of Work Scheduled	What you planned to spend by now
BCWP	Budgeted Cost of Work Performed	What you actually earned (work completed)
ACWP	Actual Cost of Work Performed	What you actually spent
CV	Cost Variance (BCWP – ACWP)	Are you over or under budget?
SV	Schedule Variance (BCWP – BCWS)	Are you ahead or behind schedule?
CPI	Cost Performance Index (BCWP ÷ ACWP)	For every \$1 spent, how much work do you get?
SPI	Schedule Performance Index (BCWP ÷ BCWS)	How efficiently are you using time?
EAC	Estimate at Completion	Where are you headed if nothing changes?

EVMS Reporting Thresholds (Updated FAC 2025-07)

Earned Value Management Systems (EVMS) reporting requirements apply based on contract value:

Threshold	Requirement	Previous Value
\$50M (contract value)	EIA-748 compliant EVMS — non-validated	Was \$20M
\$100M (contract value)	DCMA-validated EVMS required	Was \$50M

What's Inside

- All major EVM formulas with plain-English definitions you can actually remember.
- Interpretation guide — what a CPI of 0.85 actually means for your program.
- "Pin to your wall" format — designed to be printed and kept within arm's reach.

TOOL 3

PPBE Cycle Quick Reference

What It Is

A one-page map of the Planning, Programming, Budgeting, and Execution cycle — the annual process through which DoD decides how to spend its money. If you've ever wondered why your funding request takes two years, this explains it.

Phase	What Happens	Plain English	Key Products
Planning	Strategy and priorities are set	"What do we need?"	Defense Planning Guidance (DPG)
Programmi ng	Resources are allocated to programs	"How much for each program?"	Program Objective Memorandum (POM)
Budgeting	Numbers are refined for the President's Budget	"Show me the exact dollars."	Budget Estimate Submission (BES), President's Budget
Execution	Congress approves and money gets spent	"Now go execute."	Appropriations Act, Obligation/Expenditure tracking

What's Inside

- Full cycle timeline with phases mapped to the calendar year and key decision milestones.
- Major products at each phase — what documents matter and when they're due.
- Congressional timeline integration — how the appropriations process runs in parallel.

How to Use It

Find where you are in the calendar year. That tells you which phase you're in, what decisions are being made right now, and what you can and can't change about your program's funding. If you're in the Execution phase, the money is already decided — you're managing what you've got. If you're in the Programming phase, now is when you fight for next year's dollars.

TOOL 4

Wrap Rate Breakdown

What It Is

A calculator that shows you the fully-loaded cost of a contractor employee — what a defense company actually charges the government for one hour of a person's time, and why it's 2–3x their actual salary.

THE ANALOGY

If you hire someone at \$50/hour, you're not paying \$50/hour. You're paying their salary plus your share of their benefits, plus the office they sit in, plus a slice of the company's admin staff, plus a small profit margin. Wrap rate is that total number expressed as a multiplier. A 2.5x wrap rate means a \$50/hour employee costs the government \$125/hour.

The Four Layers of Cost

Layer	What It Covers	Typical Range
Direct Labor	Base salary / hourly rate	—
Fringe	Benefits — health insurance, retirement, paid leave	25–40%
Overhead	Facility costs, support staff, equipment	40–100%
G&A;	Corporate overhead — executives, BD, legal, HR	10–25%
Fee / Profit	The contractor's margin	5–10%

CMMC Costs as an Emerging Indirect Cost Factor

With CMMC Phase 1 active (Nov 10, 2025), contractors handling CUI are now required to demonstrate CMMC compliance in new contracts. These costs — cybersecurity tooling, assessments, documentation, and remediation — are typically captured as overhead or G&A costs and will appear in wrap rates going forward. Expect CMMC compliance costs to add 1–5% to indirect rates for mid-tier and small businesses undergoing C3PAO assessments (required Phase 2, Nov 10, 2026).

What's Inside

- Wrap Rate Calculator — enter base rates and the fully-loaded cost calculates automatically.

- Rate Comparison table — typical wrap rates by contractor type: large prime, mid-tier, small business, and SETA.
- Instructions tab explaining each rate component and where to find your company's actual rates.

How to Use It

1

Step 1 — Enter your labor category's hourly rate
Use the blue cells in the calculator.

2

Step 2 — Enter your indirect rates
Fringe, overhead, G&A; — from your accounting system or disclosed rates.

3

Step 3 — The loaded rate calculates automatically
This is what the government actually pays.

4

Step 4 — Compare against the Rate Comparison tab
See if your rates are competitive for your company type.

Quick Reference Card

Keep this page handy. It's a one-page summary of the key concepts across all four cheat sheets — the stuff that comes up in every meeting, review, and budget drill.

Key Acquisition Thresholds (FAC 2025-07)

Threshold	Amount	Previous	Effective
Simplified Acquisition Threshold (SAT)	\$350,000	\$250,000	Oct 1, 2025
Micro-Purchase Threshold (MPT)	\$15,000	\$10,000	Oct 1, 2025
TINA / Certified Cost & Pricing Data	\$2.5M	—	Post-Jul 1, 2018
Competition J&A; Approval	\$900,000	\$750,000	Oct 1, 2025
EVMS — Non-Validated EIA-748	\$50M	\$20M	Oct 1, 2025
EVMS — DCMA Validated	\$100M	\$50M	Oct 1, 2025

EVM Performance Indicators

Indicator	Value	What It Means
CPI below 0.90	Trouble	You're spending more than planned per unit of work. Cost overrun trend.
CPI below 0.85	Serious trouble	Programs almost never recover once CPI drops this low.
SPI below 0.90	Schedule risk	You're behind schedule. Work is not getting done as planned.
CPI or SPI above 1.0	On track (or ahead)	You're getting more work per dollar/per time period than planned.

Typical Wrap Rate Ranges

Contractor Type	Typical Wrap Rate	Notes
Large Prime	2.5x – 3.2x	Higher overhead, more corporate infrastructure
Mid-Tier	2.2x – 2.8x	Moderate overhead structure
Small Business	1.8x – 2.4x	Lower overhead, but rates vary widely

Contractor Type	Typical Wrap Rate	Notes
SETA / FFRDC	2.0x – 2.6x	Non-profit or quasi-government support

PPBE Phases in Plain English

Planning — "What do we need?"

Strategy and priorities. The defense planning guidance sets direction.

Programming — "How much for each program?"

The Program Objective Memorandum (POM). This is where programs fight for dollars.

Budgeting — "Show me the exact dollars."

The President's Budget. Numbers get refined and justified.

Execution — "Go spend it wisely."

Obligation and expenditure tracking. The money is now law — manage it.

Want to go deeper? Visit acqlerate.com for deep-dive guides on defense finance, acquisition strategy, and the full Acqlerate template library.